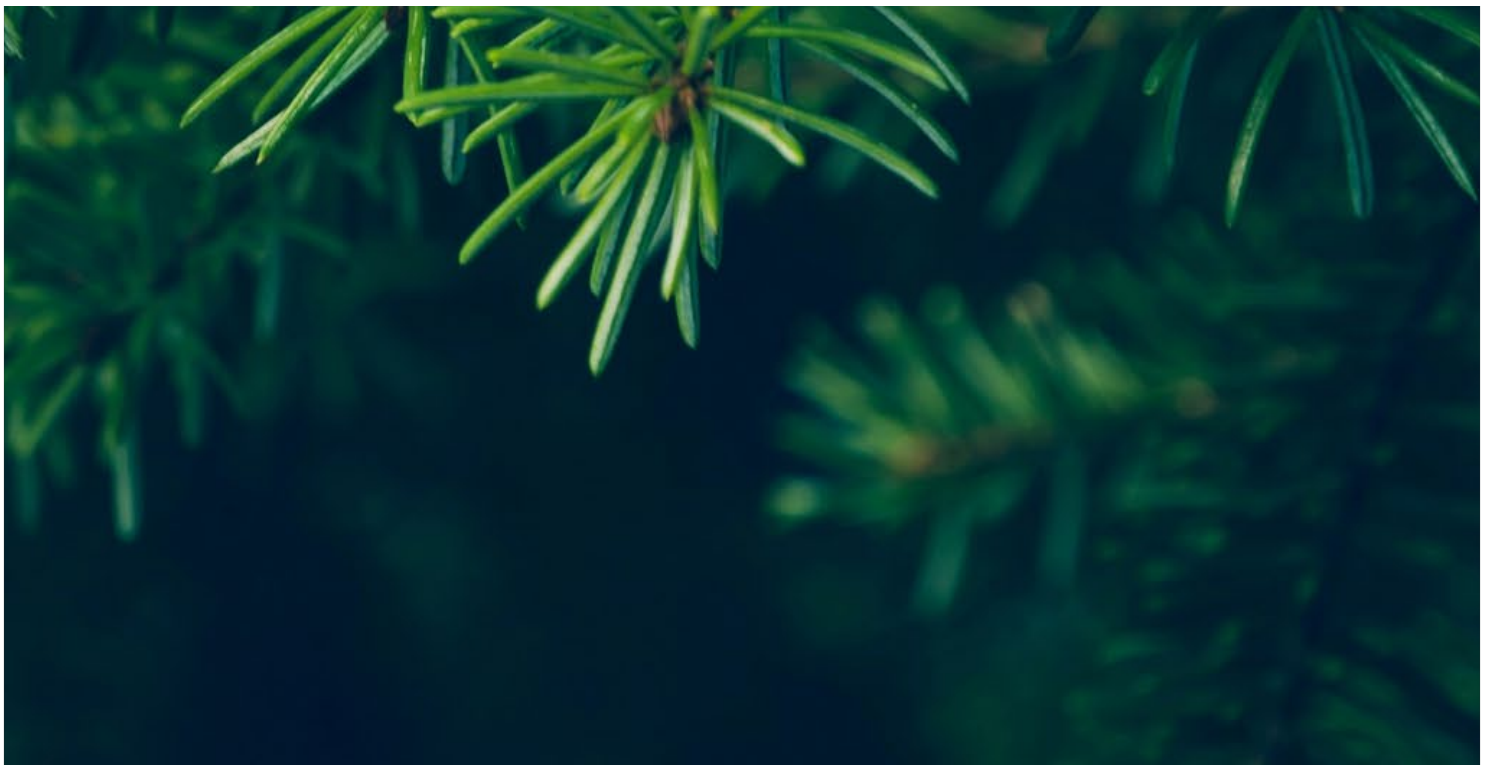




ACADIAN TIMBER CORP.
Q1 2024 INTERIM REPORT
MARCH 30, 2024



Q1 2024 Interim Report

Letter to Shareholders

Overview¹

Acadian Timber Corp. (“Acadian” or the “Company”) delivered strong financial results for the three months ended March 30, 2024 (the “first quarter”), driven by a significant sale of voluntary carbon credits and stable regional demand and pricing for its timber products. Harvesting operations were somewhat hindered by unseasonably warm weather conditions, but improved contractor availability led to a substantial increase in timber sales volumes, as compared to the prior year period.

Acadian generated \$7.8 million of Free Cash Flow² and declared dividends of \$5.0 million to our shareholders during the first quarter. Our balance sheet continues to be solid with \$7.0 million of net liquidity² as at March 30, 2024, which includes funds available under our credit facilities.

Results of Operations

Acadian is committed to health and safety as our number one priority. We believe that emphasizing and achieving a good safety record is a leading indicator of success in the broader business. Acadian’s operations experienced two recordable safety incidents during the quarter among contractors, which were minor in nature, and none among employees. We remain committed to maintaining a culture across the organization that emphasizes the importance of strong safety performance.

Acadian generated sales of \$28.8 million, compared to \$22.4 million in the prior year period. Acadian’s first significant sale of carbon credits occurred during the first quarter and contributed \$4.9 million to sales. Timber sales increased \$1.5 million year-over-year as a result of a 35% increase in sales volumes, partially offset by lower timber services activity. The higher sales volumes were primarily a result of increased contractor availability, partially offset by the impacts of unfavourable weather conditions.

Weighted average selling price, excluding biomass, decreased 2% year-over-year. Increases in softwood prices were offset by decreases in hardwood sawlog prices due to weakness in hardwood lumber markets and decreases in hardwood pulpwood pricing, which is attributable to elevated pricing in the first quarter of 2023 resulting from a shortage of regional supply in that period.

Adjusted EBITDA² was \$10.6 million during the first quarter compared to \$5.6 million in the prior year period and Adjusted EBITDA margin² for the quarter was 37% compared to 25%.

Net income for the first quarter totaled \$6.0 million, or \$0.35 per share, compared to net income of \$5.6 million, or \$0.33 per share in the same period of 2023. Higher operating income was offset by lower non-cash fair value adjustments and lower gains on sale of timberlands and other fixed assets, as well as higher income tax expense, as compared to the prior year period.

Carbon Credit Project¹

During the quarter, an agreement was reached to sell 752,000 of Acadian’s registered voluntary carbon credits, which relate to the first reporting period of its ongoing carbon credit project in Maine. The first delivery under this agreement for approximately 152,000 carbon credits occurred in March and has been included in Acadian’s financial results for the first quarter. The remaining 600,000 carbon credits included in the agreement are expected to be delivered prior to the end of the third quarter of 2024.

Acadian’s project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of Acadian’s sustainable forestry certification.

The project is expected to generate an additional 1.1 million credits over the remainder of the 10-year crediting period. The registration process for the second and third tranches of carbon credits for this project is expected to be completed in the second half of 2024 and is expected to result in approximately 360,000 credits being made available for sale. This project has

provided valuable experience to the Acadian management team and has formed the foundation for potential further carbon credit developments in the future.

Solar Land Lease Agreement¹

On February 6, 2024, Acadian executed an agreement for the option to lease approximately 10,000 acres of its Maine timberlands for the purpose of the development, construction, operation, and maintenance of a solar powered electric generating facility. The agreement includes inspection, development, construction, and commercial operations terms with escalating leasing fees. The incremental cash flows attributable to the inspection and development terms are modest. However, should the project reach the construction term, which is not expected to occur for several years, the incremental cash flows may become material to Acadian.

Acquisition of Timberlands¹

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million, financed through its existing revolving credit facility. The timberlands are close in proximity to Acadian's existing operations and customer base. The property is well stocked, benefiting from historical silviculture investments, which will allow Acadian to expand its harvesting operations. The property also presents significant potential for revenue diversification through other land use opportunities.

Outlook¹

While North American interest rates remain elevated and near-term pressure on end use markets persists, inflation has begun to show signs of easing. The consensus forecast for U.S. housing starts is approximately 1.43 million starts in 2024 as compared to 1.42 million in 2023. We remain confident that the stability of the northeastern forestry sector, combined with improving long-term demand for new homes and repair and remodel activity, will support the demand for our products as has been demonstrated in recent years.

Although labour markets remained tight in Maine, we continued to experience increased contractor availability in New Brunswick through the first quarter. Management will continue to focus on further increasing harvesting capacity through the remainder of 2024 while ensuring that operating costs remain reasonable. In the short to medium term, inflation is expected to continue to impact our financial results through elevated contractor rates and fuel surcharges, offset by the stable pricing of primary forest products like sawlogs and pulpwood.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Low regional inventories as a result of the unfavourable weather conditions during the first quarter are expected to contribute to stable demand as we progress through 2024. Pricing for softwood sawtimber is expected to remain stable or slightly improved and pricing for hardwood sawtimber is expected to remain stable. While modest recovery in hardwood lumber pricing was noted during the quarter, it may be a longer period before pricing for hardwood sawtimber improves. Demand and pricing for softwood and hardwood pulpwood is expected to be steady, mainly impacted by supply in the region.

During 2023, purchasers of voluntary carbon credits increased their focus on carbon credits of high quality, and expended greater time and effort performing due diligence. This shift may have delayed some sales, however, underlying demand and pricing for voluntary carbon credits are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was recently finalized. Acadian is evaluating the protocol and the opportunities to develop eligible carbon credits that it may present.

Looking Ahead¹

As we enter the second quarter, we are optimistic that an early start to operations following the spring thaw combined with steady demand will allow Acadian to achieve its planned harvesting and sales volumes for the year. Furthermore, with nearly all of our registered carbon credits expected to be delivered to end customers by the end of the third quarter, we are working diligently to register the second and third tranches of carbon credits.

As always, we will remain focused on merchandizing our products to obtain the highest margins available and making improvements throughout the business to maximize cash flows from our existing timberland assets, while exploring

opportunities to grow.

On behalf of the Board of Directors and management of Acadian, I would like to thank all our shareholders for their ongoing support.



Adam Sheparsi

President and Chief Executive Officer

May 8, 2024

1. *This Letter to Shareholders contains forward-looking information within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Please refer to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" in Management's Discussion and Analysis for further details.*
2. *Adjusted EBITDA, Adjusted EBITDA margin and Free Cash Flow are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from our operations. Acadian's management defines Adjusted EBITDA as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and "Adjusted EBITDA margin" as Adjusted EBITDA as a percentage of Acadian's sales. "Free Cash Flow" is defined as Adjusted EBITDA less interest paid, current income tax expense, and capital expenditures excluding acquisitions of timberlands, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference is also made to "Net liquidity" which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled "Non-IFRS Measures" in Management's Discussion and Analysis for further details.*

MANAGEMENT'S DISCUSSION AND ANALYSIS

(All figures in Canadian dollars unless otherwise stated)

May 8, 2024

INTRODUCTION

Acadian Timber Corp. ("Acadian", the "Company" or "we") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 777,000 acres of freehold timberlands in New Brunswick, approximately 300,000 acres of freehold timberlands in Maine and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick. Acadian's products include softwood and hardwood sawlogs, pulpwood and biomass by-products, sold to approximately 90 regional customers. Acadian also develops carbon credits for sale in voluntary carbon credit markets.

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Basis of Presentation

This management's discussion and analysis ("MD&A") discusses the financial condition and results of operations of the Company for the three months ended March 30, 2024 (herein referred to as the "first quarter") compared to the three months ended March 25, 2023 and should be read in conjunction with the unaudited interim condensed consolidated financial statements and notes thereto for the first quarter and the audited annual consolidated financial statements and the related MD&A for the fiscal year ended December 31, 2023.

Our first quarter unaudited interim condensed consolidated financial statements have been prepared in accordance with IAS 34 "Interim Financial Reporting" using the accounting policies adopted and disclosed in Note 2 of Acadian's audited 2023 consolidated financial statements and as updated in Note 2 of the first quarter unaudited condensed consolidated financial statements, and are expressed in Canadian dollars unless otherwise noted. External economic and industry factors remain unchanged since the previous annual report, unless otherwise noted. This MD&A has been prepared based on information available as at May 8, 2024. Additional information is available on Acadian's website at www.acadiantimber.com and on SEDAR+ at www.sedarplus.ca.

Non-IFRS Measures

Throughout this MD&A, reference is made to "Adjusted EBITDA", which Acadian's management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to "Adjusted EBITDA margin", which is Adjusted EBITDA as a percentage of sales. Reference is also made to "Free Cash Flow", which Acadian's management defines as Adjusted EBITDA less interest paid, current income tax expense, and capital expenditures excluding acquisitions of timberlands, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Reference made to "Payout Ratio" is defined as dividends declared divided by Free Cash Flow and "Payout Ratio with DRIP" is defined as dividends paid in cash divided by Free Cash Flow. Management believes that Adjusted EBITDA, Adjusted EBITDA margin, Free Cash Flow, and Payout Ratios are key performance measures in evaluating Acadian's operations and are important in enhancing investors' understanding of the Company's operating performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian's operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian's ability to generate sustainable cash flows from our operations while Payout Ratios are used to evaluate Acadian's ability to fund its distribution using Free Cash Flow. We have provided reconciliations of net income as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow in the "Adjusted EBITDA and Free Cash Flow" section of this MD&A. Reference is also made to net liquidity which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt.

As these measures do not have a standardized meaning prescribed by IFRS, they may not be comparable to similar measures presented by other companies.

Assessment and Changes in Disclosure Controls and Internal Controls

Management, including the Chief Executive Officer and Chief Financial Officer, have evaluated the effectiveness of the design and operation of the Company's disclosure controls and procedures as at December 31, 2023. There have been no changes in our disclosure controls and procedures during the three months ended March 30, 2024 that have materially affected, or are reasonably likely to materially affect, our disclosure controls and procedures.

Management, including the Chief Executive Officer and Chief Financial Officer, have also evaluated the design and effectiveness of our internal controls over financial reporting in accordance with Multilateral Instrument 52-109 using the COSO Framework 2013 as at December 31, 2023. There have been no changes in our internal controls over financial reporting during the three months ended March 30, 2024 that have materially affected, or are reasonably likely to materially affect, our internal controls over financial reporting.

REVIEW OF OPERATIONS

Summary of First Quarter Results

The table below summarizes operating and financial data for Acadian:

<i>(CAD thousands, except volume and per share information)</i>	March 30, 2024	March 25, 2023
Timber sales volume (000s m ³)	247.0	205.2
Carbon credit sales volume (000s credits)	152.1	—
Timber sales and services	\$ 23,879	\$ 22,362
Carbon credit sales	4,930	—
Operating income	7,598	5,304
Net income	6,025	5,621
Adjusted EBITDA ¹	\$ 10,599	\$ 5,601
Adjusted EBITDA margin ¹	37%	25%
Free Cash Flow ¹	\$ 7,770	\$ 3,723
Dividends declared	5,004	4,918
Dividends paid in cash	3,723	3,721
Payout Ratio ¹	64%	132%
Payout Ratio with DRIP ¹	48%	100%
Per share – basic and diluted		
Net income	\$ 0.35	\$ 0.33
Free Cash Flow ¹	0.45	0.22
Dividends declared	0.29	0.29
Book value	18.72	18.07
Common shares outstanding ²	17,254,798	16,958,881
Weighted average shares outstanding	17,242,758	16,945,764

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 4 of this report.

2. As at May 8, 2024 there were 17,392,634 common shares outstanding.

During the first quarter, Acadian generated sales of \$28.8 million, compared to \$22.4 million in the prior year period. Acadian's first significant sale of carbon credits occurred during the first quarter and contributed \$4.9 million to sales. Timber sales volumes increased 35% year-over-year primarily as a result of increased contractor availability, which was partially offset by the impacts of unfavourable weather conditions, as well as lower timber services activity. Biomass sales volume decreased 59% from the prior year quarter due to limited processing capacity and fiber availability.

Weighted average selling price, excluding biomass, decreased 2% year-over-year. Increases in softwood sawlog and pulpwood

prices were offset by decreases in hardwood sawlog prices due to weakness in hardwood lumber markets and decreases in hardwood pulpwood pricing, which is attributable to elevated pricing in the first quarter of 2023 resulting from a shortage of regional supply in that period.

Operating costs and expenses were \$21.2 million during the first quarter, compared to \$17.1 million during the prior year period. The year-over-year increase reflects the addition of costs related to carbon credit sales as well as higher timber sales volumes, partially offset by lower timber services activity in New Brunswick. Weighted average variable harvesting costs, excluding biomass, increased 5% over the prior year period as a result of higher contractor costs and longer hauling distances during the first quarter of 2024.

Adjusted EBITDA was \$10.6 million during the first quarter compared to \$5.6 million in the prior year period. Adjusted EBITDA margin for the quarter was 37% compared to 25% in the prior year period. Free Cash Flow was \$7.8 million, which is \$4.2 million higher than the same period in the prior year.

Net income for the first quarter totaled \$6.0 million, or \$0.35 per share, compared to net income of \$5.6 million, or \$0.33 per share in the same period of 2023. Higher operating income was offset by lower non-cash fair value adjustments and lower gains on sale of timberlands and other fixed assets, as well as higher income tax expense, as compared to the prior year period.

Adjusted EBITDA and Free Cash Flow

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period:

<i>(CAD thousands)</i>	March 30, 2024	March 25, 2023
Net income	\$ 6,025	\$ 5,621
Add / (deduct):		
Interest expense, net	859	809
Income tax expense	2,976	2,281
Depreciation and amortization	102	73
Fair value adjustments and other	(2,189)	(3,183)
Non-cash cost of sales related to carbon credits ²	2,826	—
Adjusted EBITDA ¹	\$ 10,599	\$ 5,601
Add / (deduct):		
Interest paid on debt, net	(829)	(779)
Additions to land, roads, and other fixed assets	(128)	(31)
Gain on sale of timberlands and other fixed assets	(73)	(224)
Proceeds from sale of timberlands and other fixed assets	79	230
Current income tax expense	(1,878)	(1,074)
Free Cash Flow ¹	\$ 7,770	\$ 3,723
Dividends declared	\$ 5,004	\$ 4,918
Dividends paid in cash	\$ 3,723	\$ 3,721
Payout Ratio ¹	64%	132%
Payout Ratio with DRIP ¹	48%	100%

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 4 of this report.

2. The portion of the book value of carbon credit inventory that originates in transfers from timber is generated through fair value adjustments to timber. These amounts are recorded as an expense at the time of a sale and are added back to Adjusted EBITDA to be consistent with the treatment of fair value adjustments.

Dividend Policy of the Company

Acadian declares dividends from its available cash to the extent determined prudent by the Board of Directors. Dividends are paid on or about the 15th day following each dividend record date.

Total dividends declared to shareholders during the three months ended March 30, 2024 were \$5.0 million, or \$0.29 per share, compared to \$4.9 million, or \$0.29 per share during the same period in 2023.

Acadian has in place a dividend reinvestment plan (“DRIP”) effective with eligible shareholders whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares issued directly from the treasury of the Company. During the three months ended March 30, 2024, Acadian issued 72,240 common shares in accordance with the DRIP.

Macer Forest Holdings Inc. (“Macer”), which owns approximately 47% of the outstanding common shares of Acadian, increased its participation in the DRIP from 50% of dividends payable to it to 100% beginning with the dividend paid April 15, 2024.

Operating and Market Conditions

Acadian’s harvesting operations during the quarter benefited from stable demand for its products. Sales volume, excluding biomass, of 234,000 m³ was 35% higher than the same period in 2023 due to increased contractor availability, partially offset by unfavourable weather conditions in both Maine and New Brunswick.

Weighted average selling price, excluding biomass, decreased 2% year-over-year. Pricing for softwood sawlog and softwood pulpwood increased by 2% and 17%, respectively, due to favourable market dynamics. Hardwood sawlog and hardwood pulpwood pricing decreased by 17% and 9%, respectively. Decreases in hardwood sawlog prices were due to weakness in hardwood lumber markets and decreases in hardwood pulpwood prices were attributable to elevated pricing in the first quarter of 2023 resulting from a shortage of regional supply in that period. Biomass pricing increased 24% year-over-year, due to changes in demand.

Segmented Results of Operations

In the prior year ended December 31, 2023, Acadian had two reportable segments: New Brunswick Timberlands and Maine Timberlands. As a result of increased diversification in business activities, an additional reportable segment, Environmental Solutions, has been added in the first quarter.

The table below summarizes financial results by segment:

Three Months Ended March 30, 2024		
(CAD thousands)		
	Sales	Adjusted EBITDA¹
NB Timberlands	\$ 19,070	\$ 5,996
Maine Timberlands	4,809	1,163
Environmental Solutions	4,930	4,138
Corporate	—	(698)
Total	\$ 28,809	\$ 10,599
Three Months Ended March 25, 2023		
(CAD thousands)		
	Sales	Adjusted EBITDA¹
NB Timberlands	\$ 17,907	\$ 4,883
Maine Timberlands	4,455	1,099
Corporate	—	(381)
Total	\$ 22,362	\$ 5,601

1. Non-IFRS Measure. See “Non-IFRS Measures” on page 4 of this report.

New Brunswick Timberlands

New Brunswick Timberlands owns and manages approximately 777,000 acres of freehold timberlands and provides harvesting and management services relating to approximately 1.3 million acres of Crown licensed timberlands. All harvesting operations are performed by third-party contractors.

During the first quarter of 2024, Acadian's New Brunswick operations experienced no recordable safety incidents among employees or contractors.

The table below summarizes operating and financial results for New Brunswick Timberlands:

		Three Months Ended	
		March 30, 2024	March 25, 2023
Harvest (000s m ³)			
	Softwood	113.2	86.9
	Hardwood	74.6	62.2
	Biomass	13.0	25.8
	Total	200.8	174.9
Sales (000s m ³)			
	Softwood	113.9	85.1
	Hardwood	72.1	44.2
	Biomass	13.0	25.8
	Total	199.0	155.1
Sales Mix			
	Softwood	57%	55%
	Hardwood	36%	28%
	Biomass	7%	17%
	Total	100%	100%
Sales (\$000s)			
	Softwood	\$ 8,915	\$ 6,248
	Hardwood	6,744	4,861
	Biomass	695	1,310
	Total	\$ 16,354	\$ 12,419
Timber services and other		2,716	5,488
Sales (\$000s)		\$ 19,070	\$ 17,907
Adjusted EBITDA ¹ (\$000s)		\$ 5,996	\$ 4,883
Adjusted EBITDA margin ¹		31%	27%

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 4 of this report.

Sales for New Brunswick Timberlands were \$19.1 million compared to \$17.9 million during the prior year period, with increased sales volumes partially offset by lower timber services activity. Sales volume, excluding biomass, increased 44% due primarily to increased contractor capacity. Softwood sawlog and hardwood sawlog sales volumes increased 35% and 28%, respectively, and softwood pulpwood and hardwood pulpwood sales volumes increased 29% and 75%, respectively. Biomass sales volume decreased 50% from the prior year period due to limited processing capacity and fiber availability.

The weighted average selling price, excluding biomass, for the first quarter was \$84.19 per m³, or 2% lower than the prior year period. Increases in softwood sawlog and softwood pulpwood prices were offset by decreases in hardwood sawlog prices due to weakness in hardwood lumber markets and decreases in hardwood pulpwood pricing, which is attributable to elevated

pricing in the first quarter of 2023 resulting from a shortage of regional supply in that period.

Operating costs and expenses were \$13.2 million during the first quarter, compared to \$13.3 million in the prior year period. Increased harvesting activity and increased weighted average variable costs were offset by lower timber services activity. Weighted average variable costs, excluding biomass, increased 4% as a result of higher contractor costs compared to the prior year period.

Adjusted EBITDA for the quarter was \$6.0 million compared to \$4.9 million during the prior year period and Adjusted EBITDA margin was 31% compared to 27%.

Maine Timberlands

Maine Timberlands owns and manages approximately 300,000 acres of freehold timberlands. All harvesting operations are performed by third-party contractors.

There were no recordable safety incidents among employees and two recordable safety incidents among contractors during the first quarter of 2024, which were minor in nature.

The table below summarizes operating and financial results for Maine Timberlands:

		Three Months Ended	
		March 30, 2024	March 25, 2023
Harvest (000s m ³)			
	Softwood	28.9	29.3
	Hardwood	20.5	15.5
	Biomass	0.2	6.5
	Total	49.6	51.3
Sales (000s m ³)			
	Softwood	29.7	28.2
	Hardwood	18.1	15.4
	Biomass	0.2	6.5
	Total	48.0	50.1
Sales Mix			
	Softwood	62%	56%
	Hardwood	38%	31%
	Biomass	0%	13%
	Total	100%	100%
Sales (\$000s)			
	Softwood	\$ 2,958	\$ 2,636
	Hardwood	1,584	1,551
	Biomass	2	60
	Total	\$ 4,544	\$ 4,247
Other sales		265	208
Sales (\$000s)		4,809	4,455
Adjusted EBITDA ¹ (\$000s)		\$ 1,163	\$ 1,099
Adjusted EBITDA margin ¹		24%	25%

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 4 of this report.

Sales for Maine Timberlands during the first quarter totaled \$4.8 million compared to \$4.5 million in the prior year period. Sales volume, excluding biomass, increased 10% reflecting increased contractor availability, partially offset by unfavourable weather conditions.

The weighted average selling price, excluding biomass, in Canadian dollar terms was \$95.03 per m³, compared to \$96.05 per m³ during the same period of 2023. In U.S. dollar terms, the weighted average selling price, excluding biomass, was \$70.48 per m³, compared to \$70.76 per m³ in 2023. Stable softwood sawlog prices were offset by decreased hardwood pulpwood prices which is attributable to elevated pricing in the first quarter of 2023 resulting from a shortage of regional supply in that period. Hardwood sawlog and softwood pulpwood volumes were minimal during the quarter.

Operating costs and expenses for the first quarter were \$3.7 million, compared to \$3.4 million during the same period in 2023, primarily due to higher weighted average variable costs, partially offset by lower land management costs due to mild weather conditions. Weighted average variable costs, excluding biomass, increased 5% in Canadian dollar terms as a result of higher contractor costs and increased hauling distances.

Adjusted EBITDA for the quarter was \$1.2 million compared to \$1.1 million during the prior year period and Adjusted EBITDA margin was 24% compared to 25%.

Environmental Solutions¹

Environmental Solutions leverages the ecological functions of Acadian's land and the operational expertise of its team to address pressing environmental challenges, such as climate change and biodiversity. In line with these objectives, Acadian has undertaken a voluntary carbon credit project which increases carbon sequestration and provides significant environmental benefits on the portion of our Maine Timberlands that is subject to a working forest conservation easement.

The project is registered on the ACR under the name Anew – Katahdin Forestry Project, and requires balancing harvest and growth, long-term planning, periodic carbon inventory verification, and maintenance of the Acadian's sustainable forestry certification.

On June 8, 2023, 770,071 voluntary carbon credits relating to the first reporting period of the project were registered and made available for sale. A sale of 1,500 carbon credits occurred in December 2023. During the first quarter of 2024, an agreement was reached to sell nearly all of the remaining registered carbon credits. The first delivery under this agreement for approximately 152,000 carbon credits occurred in March and has been included in Acadian's financial results for the first quarter. The remaining 600,000 carbon credits included in the agreement are expected to be delivered prior to the end of the third quarter of 2024.

The table below summarizes operating and financial results for Environmental Solutions. There were no sales or related costs in the comparative period presented.

	Three Months Ended	
	March 30, 2024	March 25, 2023
Sales volume (000s credits)	152.1	—
Sales (\$000s)	\$ 4,930	—
Adjusted EBITDA ¹ (\$000s)	\$ 4,138	—

1. Non-IFRS Measure. See "Non-IFRS Measures" on page 4 of this report.

¹ The following contains forward-looking information about Acadian Timber Corp.'s outlook for the remainder of 2024. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

The registration process for the second and third tranches of carbon credits for this project is expected to be completed in the second half of 2024. The current model for the project estimates an additional 1.1 million credits to be generated over the remainder of the 10-year crediting period. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

Solar Land Lease Agreement¹

On February 6, 2024, Acadian executed an agreement for the option to lease approximately 10,000 acres of its Maine timberlands for the purpose of the development, construction, operation, and maintenance of a solar powered electric generating facility.

The agreement includes inspection, development, construction, and commercial operations terms with escalating leasing fees. The future impact to Acadian's financial results will be dependent upon the successful completion of each of the above-noted terms, none of which are certain. The incremental cash flows attributable to the inspection and development terms are modest. However, should the project reach the construction term, which is not expected to occur for several years, the incremental cash flows may become material to Acadian.

At any time during the inspection term or the development term, the tenant has the right to terminate the agreement. The agreement also contains provisions whereby Acadian may terminate if all permits and approvals necessary to construct the facility are not obtained prior to the end of the development period.

Acquisition of Timberlands¹

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million, financed through its existing revolving credit facility. The timberlands are close in proximity to Acadian's existing operations and customer base. The property is well stocked, benefiting from historical silviculture investments, which will allow Acadian to expand its harvesting operations. The property also presents significant potential for revenue diversification through other land use opportunities.

LIQUIDITY AND CAPITAL RESOURCES¹

Acadian had net liquidity of \$7.0 million as at March 30, 2024, which includes cash and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. The acquisition of timberlands discussed above in the section Acquisition of Timberlands was financed through Acadian's existing revolving credit facility and remained outstanding at the end of the first quarter.

The sale of voluntary carbon credits that occurred during the quarter, for which cash was received subsequent to the quarter, as well as the future expected sales discussed in the section Carbon Credit Project below may contribute significant amounts of additional liquidity in the near term.

A portion of long-term debt totaling \$43.4 million is scheduled to mature March 6, 2025 as included within Contractual Obligations. It is management's intention to refinance the debt prior to the maturity date.

Normal course issuer bid

On February 7, 2024, the Company renewed its Normal Course Issuer Bid by filing a notice of intention with the TSX to purchase for cancellation up to 862,739 common shares representing 5% of the 17,254,798 common shares outstanding as of January 31, 2024, subject to regulatory approval. The purchases will be made through the facilities of the TSX and/or any alternative Canadian trading systems to the extent they are eligible. The price that the Company will pay for any such shares will be the market price at the time of acquisition.

The Company believes that repurchasing shares at the prevailing market prices from time to time is a worthwhile use of funds and in the best interests of the Company and its shareholders. Purchases may commence on February 14, 2024 and shall terminate not later than February 13, 2025. Based on average daily trading volume ("ADTV") of 5,524 over the last six months, daily purchases will be limited to 1,381 common shares (25% of the ADTV of the common shares), other than block purchase exemptions.

The previous NCIB expired February 13, 2024. During the three months ended March 30, 2024, the Company did not purchase any of its common shares.

Liquidity and capital resources are discussed in the Company's MD&A for the year ended December 31, 2023.

OUTLOOK¹

While North American interest rates remain elevated and near-term pressure on end use markets persists, inflation has begun to show signs of easing. The consensus forecast for U.S. housing starts is approximately 1.43 million starts in 2024 as compared to 1.42 million in 2023. We remain confident that the stability of the northeastern forestry sector, combined with improving long-term demand for new homes and repair and remodel activity, will support the demand for our products as has been demonstrated in recent years.

Although labour markets remained tight in Maine, we continued to experience increased contractor availability in New Brunswick through the first quarter. Management will continue to focus on further increasing this harvesting capacity through the remainder of 2024 while ensuring that operating costs remain reasonable. In the short to medium term, inflation is expected to continue to impact our financial results through elevated contractor rates and fuel surcharges, offset by the stable pricing of primary forest products like sawlogs and pulpwood.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Low regional inventories as a result of the unfavourable weather conditions during the first quarter are expected to contribute to stable demand as we progress through 2024. Pricing for softwood sawtimber is expected to remain stable or slightly improved and pricing for hardwood sawtimber is expected to remain stable. While modest recovery in hardwood lumber pricing was noted during the quarter, it may be a longer period before pricing for hardwood sawtimber improves. Demand and pricing for softwood and hardwood pulpwood is expected to be steady, mainly impacted by supply in the region.

During 2023, purchasers of voluntary carbon credits increased their focus on carbon credits of high quality, and expended greater time and effort performing due diligence. This shift may have delayed some sales, however, underlying demand and pricing for voluntary carbon credits are expected to remain stable. The protocol for developing compliance market carbon credits from managed forests in Canada was recently finalized. Acadian is evaluating the protocol and the opportunities to develop eligible carbon credits that it may present.

¹ The following contains forward-looking information about Acadian Timber Corp.'s outlook for the remainder of 2024. Reference should be made to the section entitled "Cautionary Statement Regarding Forward-Looking Information and Statements" for further details. For a description of material factors that could cause actual results to differ materially from the forward-looking information in the following, please see the Risk Factors section of Acadian's most recent Annual Report and Annual Information Form available on our website at www.acadiantimber.com or www.sedarplus.ca.

SELECTED CONSOLIDATED QUARTERLY INFORMATION

The table below sets forth selected consolidated quarterly information for the current and last seven quarters.

	2024	2023				2022		
<i>(CAD thousands, except per share data and where indicated)</i>								
	Q1	Q4	Q3	Q2	Q1	Q4	Q3	Q2
Timber sales volume (000s m ³)	247.0	231.9	272.9	184.2	205.2	230.5	229.4	156.7
Carbon credit sales volumes (000s credits)	152.1	1.5	—	—	—	—	—	—
Timber sales and services	\$ 23,879	\$ 23,778	\$ 26,593	\$ 20,707	\$ 22,362	\$ 23,755	\$ 23,594	\$ 16,493
Carbon credit sales	\$ 4,930	\$ 37	—	—	—	—	—	—
Adjusted EBITDA ¹	10,599	4,418	4,916	5,651	5,601	4,058	4,480	2,747
Free Cash Flow ¹	7,770	2,811	4,312	4,108	3,723	2,000	3,260	1,877
Net income	6,025	11,593	6,408	5,813	5,621	22,002	4,831	4,516
Per share – basic and diluted	\$ 0.35	\$ 0.68	\$ 0.37	\$ 0.34	\$ 0.33	\$ 1.30	\$ 0.29	\$ 0.27

1. Non-IFRS Measure. See “Non-IFRS Measures” on page 4 of this report.

Results are impacted by seasonality. Harvest activity is highest during the winter months, when the ground is frozen, providing a solid base for harvesting and hauling equipment. There is a significant decrease in activity during the spring when the ground thaws. Harvesting activity resumes in the early summer when the ground dries and continues through the fall.

Net income can be significantly impacted by non-cash items such as fluctuations in foreign exchange and the fair value adjustment of the Company’s timberlands, which are revalued at each reporting period. During the fourth quarter of 2022, Acadian recorded a fair value adjustment gain on timberlands which increased net income by \$18.8 million.

During the first quarter of 2024, Acadian effected its first significant sale of carbon credits, which increased Adjusted EBITDA by \$4.1 million.

The following table provides a reconciliation of net income, as determined in accordance with IFRS, to Adjusted EBITDA and Free Cash Flow during each respective period included in the Selected Consolidated Quarterly Information above:

	2024	2023				2022		
(CAD thousands)	Q1	Q4	Q3	Q2	Q1	Q4	Q3	Q2
Net income	\$ 6,025	\$ 11,593	\$ 6,408	\$ 5,813	\$ 5,621	\$ 22,002	\$ 4,831	\$ 4,516
Add / (deduct):								
Interest expense, net	859	778	795	771	809	803	795	763
Income tax expense	2,976	4,795	1,200	2,334	2,281	8,300	1,807	1,835
Depreciation and amortization	102	101	106	83	73	79	74	63
Fair value adjustments and other	(2,189)	(12,849)	(3,593)	(3,350)	(3,183)	(27,126)	(3,027)	(4,430)
Non-cash cost of sales related to carbon credits	2,826	—	—	—	—	—	—	—
Adjusted EBITDA ¹	\$ 10,599	\$ 4,418	\$ 4,916	\$ 5,651	\$ 5,601	\$ 4,058	\$ 4,480	\$ 2,747
Add / (deduct):								
Interest paid on debt, net	(829)	(793)	(764)	(740)	(779)	(772)	(765)	(731)
Additions to land, roads and other fixed assets	(128)	(69)	(373)	(146)	(31)	(127)	(148)	(39)
Gain on sale of timberlands and other fixed assets	(73)	(5)	(77)	(351)	(224)	(42)	—	—
Proceeds from sale of timberlands and other assets	79	5	80	360	230	45	—	—
Current income tax recovery (expense)	(1,878)	(745)	530	(666)	(1,074)	(1,162)	(307)	(100)
Free Cash Flow ¹	\$ 7,770	\$ 2,811	\$ 4,312	\$ 4,108	\$ 3,723	\$ 2,000	\$ 3,260	\$ 1,877

Critical Judgments and Estimates

The preparation of financial statements in accordance with IFRS requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expense during the reported period. The critical estimates and judgements applied in preparing Acadian's consolidated financial statements affect the assessment of net recoverable amounts, net realizable values and fair values, depreciation rates and useful lives, determination of functional currency and the selection of accounting policies.

The critical estimates and judgements made in the preparation of Acadian's consolidated financial statements include, among other things, future prices and margins, future sales volumes, future harvest rates and sustainable yields, and discount rates utilized in the valuation of Acadian's timber, roads and land. In making estimates and judgements, management relies on external information and observable conditions where possible, supplemented by internal analysis as required. These estimates and judgements have been applied in a manner consistent with prior periods and there are no known trends, commitments, events or uncertainties that we believe will materially affect the methodology or assumptions utilized in making these estimates and judgements in these consolidated financial statements, except as noted below under "Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits".

Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits

In determining the reported amounts of revenue and expenses from the sale of carbon credits, critical judgments were applied in determining Acadian's customer in the sales arrangement and the timing of satisfaction of performance obligations. In determining Acadian's customer, management applied judgment in evaluating the responsibilities of Acadian and the third-party sales agent in the arrangement. The most critical area of judgment was concluding that Acadian retains control of the registered carbon credits until they are transferred to, or retired on behalf of, the end customer, and that the third-party

sales agent does not take control of the carbon credits. As a result, the end customer is determined to be Acadian's customer. Judgment was also applied when determining the timing of satisfaction of performance obligations, and therefore, the timing of recognizing revenue, which is when control of the registered carbon credit transfers to, or is retired on behalf of, the end customer. Accordingly, Acadian recognizes as revenue the gross amount paid by the end customer for the registered carbon credits and recognizes as an expense the amount that is retained by the third-party sales agent.

For further reference on critical accounting policies, see our material accounting policies contained in Note 2 of Acadian's audited 2023 consolidated financial statements and Note 2 of Acadian's Q1 2024 interim condensed consolidated financial statements .

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Related Party Transactions

There were no related party transactions during the first quarter other than shares issued to Macer in accordance with the DRIP, as included within Dividend Policy of the Company.

Contractual Obligations

The Company has two significant contractual obligations, being the Fibre Supply Agreement and the Crown Lands Services Agreement. The Fibre Supply Agreement between the Company and Groupe Lebel expires in 2026, subject to a five-year extension at the option of Groupe Lebel. The provision of timber services under the Crown Lands Services Agreement at the direction of Twin Rivers Paper Company has a term equal to the term of the Crown License, including any renewal terms.

The table below summarizes the Company's long-term debt obligations as at March 30, 2024:

(CAD thousands)	Total	Payments Due by Period			
		Less Than One Year	1 to 3 Years (2025-2027)	4 to 5 Years (2028-2029)	After 5 Years (>2029)
Term facilities					
Tranche due March 6, 2025 ¹	\$ 19,986	\$ 19,986	\$ —	\$ —	\$ —
Tranche due March 6, 2025 ¹	23,374	23,374	—	—	—
Tranche due March 6, 2027 ¹	43,360	—	43,360	—	—
Tranche due March 6, 2030 ¹	21,680	—	—	—	21,680
	\$ 108,400	\$ 43,360	\$ 43,360	\$ —	\$ 21,680
Interest payments	\$ 8,470	\$ 2,952	\$ 3,640	\$ 1,288	\$ 590

1. Represents principal of the U.S. dollar denominated term facilities with a U.S. to Canadian dollar conversion rate of 1.355, excluding the unamortized deferred financing costs.

RISK FACTORS

Risk factors are discussed in the Company's MD&A for the year ended December 31, 2023.

Cautionary Statement Regarding Forward-Looking Information and Statements

This MD&A contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, “Acadian”), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this MD&A and includes statements made in the sections entitled “Segmented Results of Operations – Environmental Solutions”, “Solar Land Lease Agreement”, “Acquisition of Timberlands” and “Outlook” and without limitation other statements regarding management’s beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this MD&A are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale, as well as the timing of sales. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities. The timing of sales is dependent on negotiations with third parties.*
- Expectations regarding advancement through the terms of the solar land lease agreement and the resulting potential financial impact to Acadian, which may be impacted by the lessee’s ability to obtain the necessary regulatory permits and approvals for the solar project, as well as to obtain third party financing. At any time during the inspection term or the development term, the tenant has the right to terminate the agreement which would terminate the lease fees paid to Acadian.*
- Expectations regarding potential future revenue to be earned from newly acquired timberlands through either expanding harvesting operations or realizing other land use revenue opportunities, which may be impacted by future contractor availability, product demand, pricing and end use markets.*
- Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.*

Other risks and factors are discussed in each of the Annual Information Form dated March 28, 2024 and the Management Information Circular dated March 28, 2024 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this MD&A are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this MD&A are made as of the date of this MD&A based on information currently available to management and should not be relied upon as representing Acadian’s views as of any date subsequent to the date of this MD&A. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

INTERIM CONDENSED CONSOLIDATED BALANCE SHEETS

(unaudited)

<i>As at</i> <i>(CAD thousands)</i>	Note	March 30, 2024	December 31, 2023
Assets			
Current assets			
Cash		\$ 4,048	\$ 1,831
Accounts receivable and other assets		11,419	9,301
Current income taxes receivable		291	1,668
Inventories	3	13,932	15,329
		29,690	28,129
Timber	4	455,429	442,830
Land, roads, and other fixed assets	5	94,232	90,854
Intangible asset		6,140	6,140
Total assets		\$ 585,491	\$ 567,953
Liabilities and shareholders' equity			
Current liabilities			
Accounts payable and accrued liabilities		\$ 8,129	\$ 9,370
Dividends payable to shareholders		5,004	4,983
Short-term debt	6	10,298	—
Current portion of long-term debt	6	43,360	—
		66,791	14,353
Long-term debt	6	64,777	105,515
Deferred income tax liabilities, net		130,861	129,103
Total liabilities		262,429	248,971
Shareholders' equity	7	323,062	318,982
Total liabilities and shareholders' equity		\$ 585,491	\$ 567,953

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF NET INCOME

(unaudited)

<i>Three Months Ended</i>			
<i>(CAD thousands, except per share data)</i>		March 30, 2024	March 25, 2023
	Note		
Sales	9	\$ 28,809	\$ 22,362
Operating costs and expenses			
Cost of sales		18,265	15,126
Selling, administration and other		2,833	1,858
Silviculture		11	1
Depreciation and amortization		102	73
		21,211	17,058
Operating income		7,598	5,304
Interest expense, net		(859)	(809)
Other items			
Fair value adjustments and other		2,189	3,183
Gain on sale of timberlands and other fixed assets		73	224
Income before income taxes		9,001	7,902
Income tax expense	11	(2,976)	(2,281)
Net income		\$ 6,025	\$ 5,621
Net income per share – basic and diluted		\$ 0.35	\$ 0.33

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(unaudited)

<i>Three Months Ended</i>		
<i>(CAD thousands)</i>		
	March 30, 2024	March 25, 2023
Net income	\$ 6,025	\$ 5,621
Other comprehensive income		
Items that may be reclassified subsequently to net income:		
Unrealized foreign currency translation gain	1,798	859
Comprehensive income	\$ 7,823	\$ 6,480

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(unaudited)

<i>Three Months Ended March 30, 2024</i> <i>(CAD thousands)</i>	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2023		\$ 147,618	\$ 111,624	\$ 33,867	\$ 25,873	\$ 318,982
Changes during the period						
Net income		—	6,025	—	—	6,025
Other comprehensive gain		—	—	—	1,798	1,798
Dividends to shareholders	12	—	(5,004)	—	—	(5,004)
Common shares issued - DRIP		1,261	—	—	—	1,261
Balances as at March 30, 2024		\$ 148,879	\$ 112,645	\$ 33,867	\$ 27,671	\$ 323,062

<i>Three Months Ended March 25, 2023</i> <i>(CAD thousands)</i>	Note	Common Share Capital	Retained Earnings	Revaluation Surplus	Currency Translation	Shareholders' Equity
Balances as at December 31, 2022		\$ 142,765	\$ 101,992	\$ 31,345	\$ 27,621	\$ 303,723
Changes during the period						
Net income		—	5,621	—	—	5,621
Other comprehensive gain		—	—	—	859	859
Dividends to shareholders	12	—	(4,918)	—	—	(4,918)
Common shares issued - DRIP		1,197	—	—	—	1,197
Balances as at March 25, 2023		\$ 143,962	\$ 102,695	\$ 31,345	\$ 28,480	\$ 306,482

See accompanying notes to interim condensed consolidated financial statements.

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(unaudited)

<i>Three Months Ended</i> <i>(CAD thousands)</i>	March 30, 2024	March 25, 2023
Cash provided by (used for):		
Operating activities		
Net income	\$ 6,025	\$ 5,621
Adjustments to net income:		
Income tax expense	2,976	2,281
Depreciation and amortization	102	73
Fair value adjustments and other	(2,189)	(3,183)
Non-cash cost of sales related to carbon credits	2,826	—
Gain on sale of timberlands and other fixed assets	(73)	(224)
Income taxes paid	(451)	(395)
Net change in non-cash working capital balances and other	(4,403)	(3,130)
	4,813	1,043
Financing activities		
Proceeds from short-term debt	10,298	—
Dividends paid to shareholders	(3,723)	(3,721)
	6,575	(3,721)
Investing activities		
Additions to timber, land, roads, and other fixed assets	(9,250)	(31)
Proceeds from sale of timberlands and other fixed assets	79	230
	(9,171)	199
Increase / (Decrease) in cash during the period	2,217	(2,479)
Cash, beginning of period	1,831	6,230
Cash, end of period	\$ 4,048	\$ 3,751

See accompanying notes to interim condensed consolidated financial statements.

Details of the net change in non-cash working capital balances and other:

<i>Three Months Ended</i> <i>(CAD thousands)</i>	March 30, 2024	March 25, 2023
Accounts receivable and other assets	\$ (2,119)	\$ (2,015)
Inventory	(1,429)	(1,900)
Accounts payable and accrued liabilities	(1,241)	(184)
Other	386	969
	\$ (4,403)	\$ (3,130)

NOTES TO THE INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

(unaudited) (All figures in Canadian dollars unless otherwise stated)

1. GENERAL

Acadian Timber Corp. (the “Company”) is governed by the *Canada Business Corporations Act* pursuant to articles of arrangement dated January 1, 2010. The Company is a reporting issuer and its common shares are publicly traded on the Toronto Stock Exchange under the stock symbol “ADN”. The principal and head office of the Company is located at 365 Canada Road, Edmundston, New Brunswick, E3V 1W2.

The Company and all of its consolidated subsidiaries (collectively “Acadian”) own and manage approximately 777,000 acres of freehold timberlands in New Brunswick (“NB Timberlands”) and approximately 300,000 acres of freehold timberlands in Maine (“Maine Timberlands”) and provide timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick (“Crown Lands”). Acadian’s products include softwood and hardwood sawlogs, pulpwood and biomass by-products sold to approximately 90 regional customers. Acadian also develops carbon credits for sale in voluntary carbon credit markets.

Acadian’s operations are subject to seasonal variations and, as a result, Acadian’s operating results vary from quarter to quarter. Harvesting activity can be compromised by inaccessibility to some sites during wet seasons, resulting in decreased harvest levels. Results of one quarter will not be indicative of results that may be achieved in other quarters or for the full year.

As at March 30, 2024, Macer Forest Holdings Inc. owns 8,049,186 shares representing approximately 47% of the outstanding shares of the Company.

2. MATERIAL ACCOUNTING POLICIES

These unaudited interim condensed consolidated financial statements have been prepared in accordance with International Accounting Standard (“IAS”) 34, Interim Financial Reporting, as issued by the International Accounting Standards Board (“IASB”) and using the accounting policies adopted and disclosed in Note 2 of Acadian’s audited 2023 consolidated financial statements, except as included below under “Sales of voluntary carbon credits” and for the adoption of new accounting standards effective January 1, 2024. These interim condensed consolidated financial statements should be read in conjunction with Acadian’s audited annual consolidated financial statements for the fiscal year ended December 31, 2023.

These unaudited interim condensed consolidated financial statements were authorized for issuance by the Board of Directors of Acadian on May 8, 2024.

Sales of voluntary carbon credits

Revenue from the sale of voluntary carbon credits is recognized when control transfers to the end customer, which is when registered carbon credits are transferred to, or retired on behalf of, the end customer.

Adoption of New Accounting Standards

Amendments to IAS 1 Classification of Liabilities as Current or Non-current and Amendments to IAS 1 Presentation of Financial Statements re: Non-current Liabilities with Covenants

The amendments clarify the requirements on determining whether a liability is current or non-current and require new disclosures for non-current liabilities that are subject to future covenants. The amendments are effective for reporting periods beginning on or after January 1, 2024. The adoption of these amendments did not have a material impact on the consolidated financial statements.

Future Accounting Standards

IFRS 18 Presentation and Disclosure in Financial Statements

IFRS 18 will replace IAS 1 Presentation of financial statements. IFRS 18 will retain many of the existing principles in IAS 1 and will focus on updates to the statement of profit or loss. Key new concepts relate to the structure of the statement of profit

or loss; required disclosures in the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements; and enhanced principles on aggregation and disaggregation. IFRS 18 will not impact the recognition or measurement of items in the financial statements, but it might change what an entity reports as its 'operating profit or loss'.

IFRS 18 is effective for reporting periods beginning on or after January 1, 2027. Earlier adoption is permitted. The impact to the consolidated financial statements of the adoption of this standard is being determined.

Critical Judgments and Estimates

The preparation of consolidated financial statements requires management to make critical judgments, estimates and assumptions that affect the carrying amounts of certain assets and liabilities, disclosure of contingent assets and liabilities and the reported amounts of revenue and expenses recorded during the periods. These estimates and judgments have been applied in a manner consistent with the disclosure included in Note 2 of Acadian's audited 2023 consolidated financial statements, except as included below under "Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits".

Judgments affecting the reported amount of revenue and expenses from the sale of carbon credits

In determining the reported amounts of revenue and expenses from the sale of carbon credits, critical judgments were applied in determining Acadian's customer in the sales arrangement and the timing of satisfaction of performance obligations. In determining Acadian's customer, management applied judgment in evaluating the responsibilities of Acadian and the third-party sales agent in the arrangement. The most critical area of judgment was concluding that Acadian retains control of the registered carbon credits until they are transferred to, or retired on behalf of, the end customer, and that the third-party sales agent does not take control of the carbon credits. As a result, the end customer is determined to be Acadian's customer. Judgment was also applied when determining the timing of satisfaction of performance obligations, and therefore, the timing of recognizing revenue, which is when control of the registered carbon credit transfers to, or is retired on behalf of, the end customer. Accordingly, Acadian recognizes as revenue the gross amount paid by the end customer for the registered carbon credits and recognizes as an expense the amount that is retained by the third-party sales agent.

3. INVENTORIES

As at (CAD thousands)	March 30, 2024	December 31, 2023
Carbon credits	\$ 12,355	\$ 13,993
Log inventory	1,577	1,336
Total	\$ 13,932	\$ 15,329

As of March 30, 2024, 616,489 carbon credits remain in inventory, of which 600,000 are subject to an executed sales agreement with anticipated delivery date(s) prior to July 31, 2024.

4. TIMBER

<i>(CAD thousands)</i>	
Balance as at December 31, 2022	\$ 437,365
Disposals	(1)
Transfer to carbon credit inventory	(14,113)
Gains arising from growth	36,968
Reduction arising from harvest	(22,675)
Gain from fair value adjustment and other changes	9,048
Foreign exchange	(3,762)
Balance as at December 31, 2023	\$ 442,830
Additions	6,735
Disposals	(1)
Gains arising from growth	9,185
Reduction arising from harvest	(6,980)
Foreign exchange	3,660
Balance as at March 30, 2024	\$ 455,429

Timber is measured at fair value. During the year, adjustments are made to standing timber assets to reflect the change in fair value due to gains arising from growth and reductions arising from harvest. Average selling price less costs of harvesting and selling is applied to expected volume growth to calculate gains arising from growth, and to the harvested volume to calculate reductions arising from harvest. On an annual basis, the fair value of standing timber assets is reassessed with the assistance of licensed independent third-party appraisers. Fair value adjustments are recognized in net income.

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million. The purchase price plus applicable transaction costs have been allocated to timber and land based on the estimated fair values at the transaction date.

5. LAND, ROADS AND OTHER FIXED ASSETS

<i>(CAD thousands)</i>	Land	Roads	Bridges and Pavement	Other	Total
Cost					
Balance as at December 31, 2022	\$ 74,510	\$ 9,455	\$ 5,916	\$ 2,616	\$ 92,497
Additions	—	—	140	479	619
Disposals	(2)	—	—	(23)	(25)
Foreign exchange	(770)	(132)	(74)	(18)	(994)
Revaluations	3,445	103	—	—	3,548
Balance as at December 31, 2023	\$ 77,183	\$ 9,426	\$ 5,982	\$ 3,054	\$ 95,645
Additions	2,387	—	—	128	2,515
Foreign exchange	793	134	75	23	1,025
Balance as at March 30, 2024	\$ 80,363	\$ 9,560	\$ 6,057	\$ 3,205	\$ 99,185
Accumulated Depreciation					
Balance as at December 31, 2022	\$ —	\$ —	\$ (2,712)	\$ (1,799)	\$ (4,511)
Depreciation for the year	—	—	(150)	(213)	(363)
Disposals	—	—	—	23	23
Foreign exchange	—	—	47	13	60
Balance as at December 31, 2023	\$ —	\$ —	\$ (2,815)	\$ (1,976)	\$ (4,791)
Depreciation for the quarter	—	—	(38)	(64)	(102)
Foreign exchange	—	—	(48)	(12)	(60)
Balance as at March 30, 2024	\$ —	\$ —	\$ (2,901)	\$ (2,052)	\$ (4,953)
Carrying Amounts					
As at December 31, 2023	\$ 77,183	\$ 9,426	\$ 3,167	\$ 1,078	\$ 90,854
As at March 30, 2024	\$ 80,363	\$ 9,560	\$ 3,156	\$ 1,153	\$ 94,232

On March 14, 2024, Acadian completed the acquisition of approximately 16,000 acres of timberland in New Brunswick at a price of \$9.0 million. The purchase price plus applicable transaction costs have been allocated to timber and land based on the estimated fair values at the transaction date.

6. DEBT

<i>As at (CAD thousands)</i>	March 30, 2024	December 31, 2023
Term facilities		
Due within twelve months	\$ 43,360	\$ —
Due in greater than twelve months	65,040	105,808
	108,400	105,808
Less:		
Deferred debt issuance costs	(263)	(293)
	\$ 108,137	\$ 105,515
Revolving facilities	\$ 10,298	\$ —

Acadian has term credit facilities with MetLife Insurance Company, with maturity dates ranging from March 6, 2025 to March 6, 2030. These credit facilities include a revolving credit facility of up to U.S. \$10.0 million (the "Revolving Facility") for general corporate purposes and term credit facilities of U.S. \$80 million (the "Term Facilities"). The Term Facilities bear interest at rates ranging from 2.7% to 3.0%. The Revolving Facility bears interest at floating rates based on the Secured Overnight

Financing Rate plus applicable margin. Floating interest rates give rise to interest rate risk as net income and cash flows may be negatively impacted by fluctuations in interest rates. There are no scheduled repayments of principal required prior to the maturity dates of the Term Facilities.

As at March 30, 2024, Acadian had borrowed U.S. \$80 million (December 31, 2023 – U.S. \$80.0 million) under the Term Facilities and U.S. \$7.6 million (December 31, 2023 – U.S. \$nil) under the Revolving Facility. U.S. \$1.7 million of the Revolving Facility is reserved to support the minimum cash balance requirement of the Term Facilities. As security for these facilities, Acadian granted the lenders a security interest over all of its assets. The facilities are subject to customary terms and conditions for borrowers of this nature, including limits on incurring additional indebtedness and granting liens or selling assets without the consent of the lenders. The credit facilities are also subject to the maintenance of a maximum loan-to-value ratio. Acadian is in compliance with all covenants as at March 30, 2024 and December 31, 2023.

Acadian has a \$2.0 million Canadian dollar denominated revolving credit facility with a major Canadian bank for general corporate purposes. This facility bears interest at floating rates based on bank prime rates plus applicable margin and is due on demand. No amounts were drawn on this facility as at March 30, 2024 or December 31, 2023.

The fair value of the Term Facilities as at March 30, 2024 is \$100.5 million (December 31, 2023 – \$100.5 million). The fair value of debt is determined using the discounted cash flow approach and is measured under Level 2 of the fair value hierarchy. Future cash flows are estimated based on the terms under the Term Facilities and discounted at a rate reflecting appropriate market fundamentals relating to the debt.

7. SHAREHOLDERS' EQUITY

Acadian is authorized to issue an unlimited number of common shares. The common shares have no stated par value.

Acadian has in place a dividend reinvestment plan ("DRIP") whereby Canadian resident shareholders may elect to automatically have their dividends reinvested in additional shares. Shares issued under the DRIP are issued directly from the treasury of the Company. During the three months ended March 30, 2024, Acadian issued 72,240 common shares in accordance with the DRIP.

On February 7, 2024, the Corporation renewed its Normal Course Issuer Bid ("NCIB") by filing a notice of intention with the TSX to purchase for cancellation up to 862,739 common shares during the period commencing February 14, 2024 and ending February 13, 2025, representing 5% of the 17,254,798 common shares outstanding as of January 31, 2024. The previous NCIB expired February 13, 2024. During the three months ended March 30, 2024, the Company did not purchase any of its common shares.

The Company's issued and outstanding common shares are as follows:

	Number of Shares	Share Capital (CAD thousands)
Balance as at December 31, 2023	17,182,558	\$ 147,618
Common shares issued – DRIP	72,240	1,261
Balance as at March 30, 2024	17,254,798	\$ 148,879

8. NET INCOME PER SHARE

Basic net income per share is calculated by dividing net income attributable to common shareholders by the weighted average number of common shares outstanding during the period. There are no dilutive potential shares.

Three Months Ended	March 30, 2024	March 25, 2023
Weighted average number of common shares – basic and diluted	17,242,758	16,945,764

9. SEGMENTED INFORMATION

Acadian's presentation of reportable segments is based on how management has organized the business in making operating and capital allocation decisions and assessing performance. In the prior year ended December 31, 2023, Acadian had two reportable segments: New Brunswick Timberlands and Maine Timberlands. As a result of increased diversification in business activities, an additional reportable segment, Environmental Solutions, has been added. The Environmental Solutions segment includes business activities related to the development and sale of voluntary carbon credits.

The material accounting policies followed for the segments are consistent with those described in Note 2. Adjusted EBITDA is used to evaluate the operational performance of reportable segments. Adjusted EBITDA is defined as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads, and depreciation and amortization.

Sales and Adjusted EBITDA by reportable segment are as follows:

<i>Three Months Ended March 30, 2024</i>			
<i>(CAD thousands)</i>		March 30, 2024	March 25, 2023
Sales			
New Brunswick Timberlands			
Softwood		\$ 8,915	\$ 6,248
Hardwood		6,744	4,861
Biomass		695	1,310
Timber services and other sales		2,716	5,488
Total New Brunswick Timberlands sales		\$ 19,070	17,907
Maine Timberlands			
Softwood		\$ 2,958	\$ 2,636
Hardwood		1,584	1,551
Biomass		2	60
Timber services and other sales		265	208
Total Maine Timberlands sales		\$ 4,809	\$ 4,455
Environmental Solutions		4,930	—
Total sales		\$ 28,809	\$ 22,362
<i>Three Months Ended March 30, 2024</i>			
<i>(CAD thousands)</i>		March 30, 2024	March 25, 2023
Adjusted EBITDA			
New Brunswick Timberlands		\$ 5,996	\$ 4,883
Maine Timberlands		1,163	1,099
Environmental Solutions		4,138	—
Total segment Adjusted EBITDA		11,297	5,982
Corporate expenses		(698)	(381)
Non-cash cost of sales related to carbon credits		(2,826)	—
Fair value adjustments and other		2,189	3,183
Interest expense, net		(859)	(809)
Depreciation and amortization		(102)	(73)
Income before income taxes		\$ 9,001	\$ 7,902

Approximately 44% of total sales during the three months ended March 30, 2024 were originated with customers domiciled in the U.S. and the balance in Canada (March 25, 2023 – 29%). Approximately 41% of total sales were denominated in U.S. dollars during the same period (March 25, 2023 – 26%).

Acadian sells its products to many companies in North America. For the three months ended March 30, 2024, sales to the largest and next largest customer accounted for 17% and 15%, respectively (March 25, 2023 – 27% and 10%, respectively).

10. FINANCIAL INSTRUMENTS

Financial Risk management - Foreign Currency Risk

Acadian has designated a hedging relationship between part of the net investment in its Maine subsidiary and its U.S. dollar-denominated debt, which mitigates the foreign currency risk arising from the subsidiary's net assets. The long-term debt is designated as a hedging instrument for the changes in the value of the net investment that is attributable to changes in the Canadian dollar/U.S. dollar spot rate.

To assess hedge effectiveness, Acadian determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the carrying amount of the debt that is attributable to a change in the spot rate with changes in the investment in the foreign operation due to movements in the spot rate (the offset method). Acadian's policy is to hedge the net investment only to the extent of the debt principal. There was no ineffectiveness to be recorded from the hedge during the quarter.

The change in the carrying amount of long-term debt as a result of foreign currency movements during the quarter, as recognized in OCI, and the change in the hedged item was \$2.0 million for the three months ended March 30, 2024 (March 25, 2023 – \$1.8 million).

Interest Rate Risk

Acadian's interest rate risk exposure arises from its floating interest rate revolving credit facility, to the extent funds are drawn (Note 6). As at March 30, 2024, U.S. \$7.6 million was drawn (December 31, 2023 - \$nil). A change in interest rates would have no impact on the fixed interest rate Term Facilities.

11. INCOME TAXES

The components of income taxes recognized in profit or loss are as follows:

<i>Three Months Ended</i> <i>(CAD thousands)</i>	March 30, 2024	March 25, 2023
Current income tax expense	\$ 1,878	\$ 1,074
Deferred income tax expense	1,098	1,207
Total income tax expense	\$ 2,976	\$ 2,281

Acadian's effective tax rate is different from the domestic statutory income tax rate due to the differences set out below:

<i>Three Months Ended</i> <i>(CAD thousands)</i>	March 30, 2024	March 25, 2023
Income taxes at statutory rate	\$ 2,612	\$ 2,291
Foreign tax rate differential	(29)	(10)
Loss of previously unrecognized tax attributes	369	—
Changes in estimates related to prior years	(4)	—
Other	28	—
Total income tax expense	\$ 2,976	\$ 2,281

12. DIVIDENDS TO SHAREHOLDERS

Acadian pays quarterly dividends to the extent determined prudent by the Board of Directors. Total dividends declared for the three months ended March 30, 2024 were \$5.0 million (March 25, 2023 – \$4.9 million) or \$0.29 per share (March 25, 2023 – \$0.29 per share).

13. SUBSEQUENT EVENT

On April 15, 2024, Acadian issued 137,836 common shares at a price of \$17.523, in accordance with the DRIP.

BOARD AND MANAGEMENT

BOARD OF DIRECTORS

Malcolm Cockwell
Managing Director
Haliburton Forest

Bruce Robertson
Corporate Director

Karen Oldfield
Interim President and CEO
Nova Scotia Health

Heather Fitzpatrick
President and CEO
Halmont Properties Corporation

Erika Reilly
Corporate Director

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

MANAGEMENT

Adam Sheparsi
President and
Chief Executive Officer
Acadian Timber Corp.

Susan Wood
Chief Financial Officer
Acadian Timber Corp.

CORPORATE AND SHAREHOLDER INFORMATION

HEAD OFFICE

365 Canada Road
Edmundston, N.B. E3V 1W2

Please direct your inquiries to:
Susan Wood
Chief Financial Officer
t. 506-737-2345
e. ir@acadiantimber.com

TRANSFER AGENT AND REGISTRAR

Shareholder inquiries relating to dividends, address changes and shareholder account information should be directed to the Company's transfer agent:

TSX Trust Company
P.O. Box 700, Station B
Montreal, QC H3B 3K3
t. 1-800-387-0825 (toll free in North America)
f. 1-888-249-6189
e. shareholderinquiries@tmx.com
www.tsxtrust.com

SHARE INFORMATION

Toronto Stock Exchange: ADN
Fully Diluted Shares Outstanding (March 30, 2024): 17,254,798
Targeted 2024 Quarterly Dividend: \$0.29 per share
Record Date: Last business day of each quarter
Payment Date: On or about the 15th day of each subsequent month

Acadian Timber Corp.
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ACADIAN**TIMBER**